can see, the compound for oilmen is packed. There's no way to squeeze you in." After thinking for a moment, the prospector asked if he might say just four words to the present occupants. That seemed harmless to St. Peter, so he gave his okay. The prospector cupped his hand and yelled, "Oil discovered in hell." Immediately the gates to the compound opened and all the oilmen rushed out. Impressed, St. Peter invited the prospector to move in and make himself comfortable. The prospector paused. "No," he said, "I think I'll go along with the rest of the boys. There might be some truth to that rumor after all."

To help investors avoid this trap, Buffett asks us to think about professional money managers, who are too often compensated by a system that equates safe with average and rewards adherence to standard practices over independent thinking. "Most managers," Buffett has said, "have very little incentive to make the intelligent-but-with-some-chance-of-looking-like-an-idiot decision. Their personal gain/loss ratio is all too obvious; if an unconventional decision works out well, they get a pat on the back, and if it works out poorly, they get a pink slip. Failing conventionally is the route to go; as a group, lemmings may have a rotten image, but no individual lemming has ever received bad press."[9]

Managing the Emotional Traps

Each of these common ways of thinking about money creates problems for investors unable to escape their harmful repercussions, but in my opinion the most serious one is myopic loss aversion. I believe it is the single greatest psychological obstacle that prevents investors from successfully applying the Warren Buffett Way. In my almost three decades of professional experience, I have observed firsthand the difficulty investors, portfolio managers, consultants, and committee members of large institutional funds have with internalizing losses made all the more painful by tabulating those losses on a frequent basis. Overcoming this psychological burden penalizes all but a very few select individuals.

Perhaps it is not surprising that one person who has mastered myopic loss aversion is also the world's greatest investor—Warren Buffett. I have always believed that Buffett's long-term success has had much to do with the unique structure of his company. Berkshire Hathaway owns both